Canada: energy security, economic opportunity and partnership priorities

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AI-generated from the data and checked against it; paper baseline as of 12 October 2026.

Summary

- None of Canada's 22 placed sectors sits in the two low-energy-security corners; its lowest Energy Security is in midstream wind, still higher than 58% of the other economies scored.[1]
- Its strongest openings are in upstream nuclear, upstream gas and upstream oil, where its Economic Opportunity is higher than 100%, 98% and 98% of the other economies scored, mainly because of production and trade.[1]
- On the paper's weighting, the Strategic Index ranks downstream solar, midstream electric grid and midstream batteries 1st to 3rd among its own sectors, almost tied. All of them fall in the group with the most policy.[1]
- The Partnership Strength Index rates the United States highest for Canada, as a reliable supplier. China is its 2nd trade partner but ranks 48th on Partnership Strength.[1,2]

1. Energy security risks and why

Canada has 0 placed sectors in the two low-energy-security corners, out of 22 placed sectors whose scores can both be compared with other economies. Energy Security measures how well a country can rely on what it needs in a sector. Every placed sector has Energy Security above the middle economy of its sector.[1]

Measured against other economies, its lowest Energy Security is in midstream wind (0.42), midstream electric grid (0.50) and midstream electric vehicles (0.47). These are higher than 58%, 68% and 74% of the other 64, 92 and 96 economies scored in these sectors. Of these, midstream wind sits in the Watch corner, the others in the Grow corner.[1]

No sector sits in the Upgrade corner, so Canada's high-priority sectors are its top Strategic Index sectors, downstream solar, midstream electric grid and midstream batteries. In midstream electric grid, its foreign-dependency score equals the middle economy's, and trade pushes the score up a little. Canada's share of world exports of these goods was 1.6% in 2023, and its trade deficit in them was 0.1% of GDP.[1,3]

In midstream wind, the score stays close to the middle mainly because of foreign dependency, which carries 46.2% of the score's weight. Part of it is filled in: Canada's share of announced world manufacturing capacity is not reported, so the index uses the world average. On the other measure of that category, its share of world supply of the technology's minerals, Canada scores higher than 86% of the other economies. For context, its largest suppliers of these goods in 2024 were the United States (50.0% of imports, which totalled USD 10.1 bn) and China (14.2%).[1,2]

2. Economic opportunities and why

21 of the 22 placed sectors sit in the two high-opportunity corners, where Economic Opportunity is above the sector's middle economy. Economic Opportunity measures how well placed a country is to create value in a sector. The highest Economic Opportunity scores are in upstream nuclear, upstream gas and upstream oil, all in the Grow corner. They are higher than 100%, 98% and 98% of the other 174, 97 and 96 economies scored.[1]

In each of these sectors, production and trade push the score up. On production of upstream nuclear, Canada scores higher than 99% of the other economies, and it held 25.4% of world exports of these goods in 2023. Its gas production was 7.42 EJ in 2025 and its oil production 6,160 kb/d, and it held 6.1% of world exports of upstream oil goods in 2023.[1,3,4]

Next comes downstream wind, higher than 98% of the other economies scored. There, investment and production push the score up: on growth in investment Canada scores higher than 100% of the other economies, and its wind generation was 52.6 TWh in 2025.[1,4]

For context, the United States took 91.4% of Canada's upstream oil exports of USD 130 bn in 2024, its largest market by far.[2]

3. Sectoral priorities and the existing policy posture

The Strategic Index ranks a country's own sectors by combining opportunity, security need, policy activity, the stage and the technology's low-emission value. On the paper's weighting, it puts downstream solar 1st (0.62), midstream electric grid 2nd, midstream batteries 3rd and midstream solar 4th among Canada's own sectors, all in the Grow corner. They are almost tied, with gaps to the next sector of just under 0.010, then 0.005, 0.004 and 0.001.[1]

The lead of downstream solar comes from policy activity: its policy term adds 0.200, and without that term it falls into the middle third of Canada's sectors. The allied pick, its leading upstream or midstream sector once sectors without a recorded resource base are set aside, is midstream electric grid, only 0.005 ahead of midstream batteries.[1,5]

Policy activity counts International Energy Agency Policies and Measures records and the Climate Action Tracker rating, read against each technology. It broadly follows the data-based priorities. The sectors that combine top priority with the most policy are midstream electric grid, midstream solar and midstream batteries, and no sector combines top priority with the least policy. Those with bottom priority and the least policy are midstream gas, upstream gas, midstream oil, midstream coal, upstream oil and upstream coal. The Climate Action Tracker rates Canada Insufficient (August 2024), and Canada has 543 Policies and Measures records, 355 of which name a technology. For context, Country Insights also lists industrial-policy measures recorded by Global Trade Alert; policy activity does not count them.[1,6,7]

4. Partnership priorities and why

The Partnership Strength Index rates partners as suppliers (Friendshore), as markets for exports (Partnership Opportunity) and, for middle- and lower-income partners, by Development Potential. From Canada's viewpoint it ranks the United States 1st, the Netherlands 2nd, the United Kingdom 3rd, Germany 4th and France 5th of 191 partners. The United States, the Netherlands, the United Kingdom and Germany stand out most as a reliable supplier, France as an export market. As a supplier, the United States scores best in

downstream batteries, midstream electric vehicles, midstream solar, midstream wind and downstream geothermal.[1]

These priorities partly match today's ties. The United States is also Canada's 1st trade partner on average across its energy-goods baskets, with average shares of 49.3% of its imports and 62.4% of its exports. Both belong to the G7, NATO, the Minerals Security Partnership and a U.S. free-trade agreement. Germany is its 3rd trade partner, the United Kingdom its 10th, the Netherlands its 11th and France its 17th. By contrast, China is its 2nd trade partner but ranks 48th on Partnership Strength: it is a strong tie today that the index ranks lower. UN votes put Canada and China in opposite blocs.[1,2,8,9]

As a partner to the coalition, Canada ranks 13th of 192 economies, on Partnership Strength averaged over the core members' viewpoints. In the allied network design, which spreads production of each upstream and midstream stage across coalition members, its largest designed share is 32.5% of upstream nuclear, followed by 17.4% of upstream oil.[1,5]

5. Data notes and caveats

Baseline of 12 October 2026; details in Country Insights.

- Scores compare Canada with other economies in the same sector; they are not measures of risk or profit in absolute terms.
- All index values are the paper's baseline as of 12 October 2026; Strategic Insights recomputes them under other weightings.
- Strategic Index scores within 0.01 of each other are almost tied: small changes in the data or the weights can swap their order.
- Many allied picks are close calls: in the paper, 37% of them are within 0.01 of the runner-up.
- Some figures behind these scores are filled in where the source has no value: with zero where a source lists every holder, otherwise with the world average.
- Some of Canada's sectors are not placed: a score is compared with other economies only when the economy is sovereign and at most half of the score rests on filled-in data.

Sources

1. Energy Security, Economic Opportunity, Strategic Index and Partnership Strength Index, paper baseline (Opportunity Security Indices pipeline); CC BY 4.0 (the paper's indices).
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5. Allied network design (the paper's model design of coalition production shares).
6. Climate Action Tracker, country ratings (ratings updated 2022-2025); attribution; https://climateactiontracker.org/.
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